

Before the negotiations began, my labor-relations

"experts" urged me to give no hint of this in the early bargaining sessions. "Play it close to the vest," they advised. "Offer nothing at all until the last possible moment, when the talks reach an apparent impasse—as they doubtless will. Then start low and edge the offer up slowly, raising it only as much as is absolutely necessary."

To my way of thinking, this approach smacked strongly of bazaar haggling. It seemed to me that such a strategy was beneath the dignity of the company and an affront to the union representatives' intelligence and could only serve to cause lasting bitterness on both sides. As I owned the

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company outright and thus would not be taking risks with the interests of other stockholders, I had no compunctions about following my own, and in my opinion wiser, counsel. I decided to try an experiment.

I went to the initial bargaining session armed with a few simple—but accurate, informative—reports. These showed the company's production costs and output, its profit-and-loss statement for the previous year, and reviewed its overall financial situation and the outlook for the immediate future. I listened patiently while labor stated its position and demands. Then I handed the documents I'd brought with me to the union spokesman and took the floor.

"I suppose we could be here for days, arguing back and forth," I said. "But, as far as I'm concerned, it's more sensible to start off where we'd have to end up in any case.

The company is unable to give you all you're asking—the reports I just handed you will prove that. You *can* have half the wage boost—and that's the absolute limit at the present time. If production and profits rise in the next year, I'll be glad to talk seriously with you about the other half."

Having said my piece, I glanced around the table, noting with considerable amusement that my aides looked horrified, and the union representatives